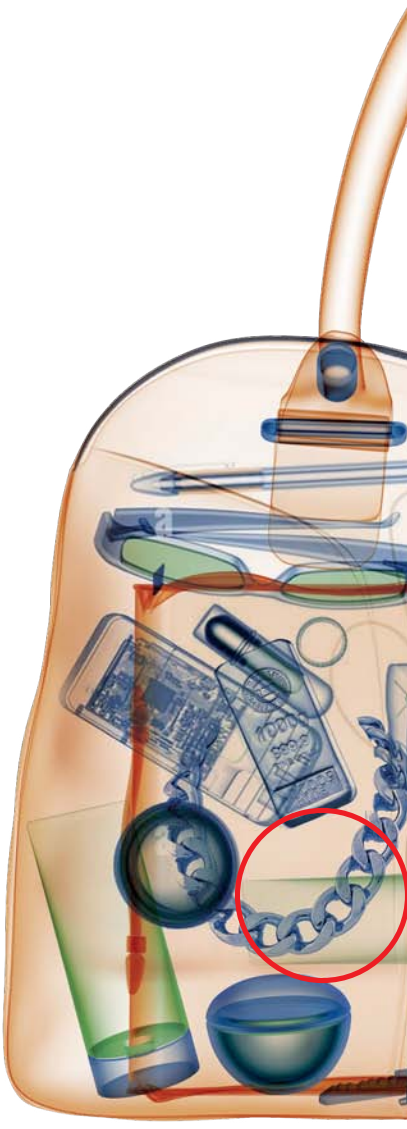
GOLDEN DECEPTION

SMUGGLERS SNEAK 300 TONNES OF THE YELLOW METAL INTO INDIA EVERY YEAR BY AIR, SEA AND LAND, BUT ONLY A FRACTION OF IT IS SEIZED, CAUSING THE GOVERNMENT A LOSS OF REVENUE WORTH Rs 30,000 CRORE

By ROHIT PARIHAR

Illustration by TANMOY CHAKRABORTY



GOLD SMUGGLING IS LUCRATIVE BUSINESS AGAIN. On November 13, customs officials at the Mumbai airport seized 61 kg of the precious metal worth Rs 32 crore in two cases, the largest single-day gold recovery. In the first case, four Indians who landed from Tanzania were caught carrying gold bars of 53 kg hidden in specially designed waist belts with multiple pockets. The suspects claimed that an unknown Sudanese had handed them the belts that concealed the UAE-made gold bars at Doha airport during transit. In the second case, eight kg of gold valued at Rs 3.88 crore was seized from one male and two female passengers who arrived from Dubai. The yellow metal was in the form of dust in wax hidden in the waistband of the jeans they wore. One of the accused women was in her 60s and wheelchair-bound.

The 'Smuggling in India 2021-22' report released by Union finance minister Nirmala Sitharaman on the 65th Foundation Day of the Directorate of Revenue Intelligence (DRI) on December 5 only confirms the trend. The agency seized 833.07 kg of smuggled gold worth Rs 405.35 crore in the previous financial year, of which 37 per cent was from Myanmar and 20 per cent from West Asia.

Many attribute the rise in gold smuggling to India ending two decades of curb-free imports in 2012, setting the clock back to an era of gold control. The customs duty on gold was raised to 2 per cent, and stood at 15 per cent (18.4 per cent with GST) this July—aimed at curbing the rise in imports to preserve foreign exchange reserves. Every hike in duty makes it more lucrative to smuggle gold, with prices continuously rising. The price of 24-karat gold almost doubled from Rs 28,067 per 10 grams in 2012 to Rs 59,000 in 2020 and is at Rs 54,000 now. In 2003-04, in a step to make India the gold trading capital of the world and discourage smuggling, the then finance minister Jaswant Singh had reduced the customs duty from Rs 250 to Rs 100 per 10 gm of gold, which continued till 2008-09.

15
PER CENT
The import duty on gold now—from 2% in 2012 when curb-free imports ended